ABC News · 3, 5 and 9 Nov 2026
HSC Economics news explainer · 10 November 2026

Are there any good alternatives to rate hikes?

> After five RBA rate rises this year took the cash rate to **4.85%**, the highest since 2008, ABC money correspondent Jessica Irvine asks whether there is a better way to bring inflation down.

WHAT HAPPENED

- The RBA raised the cash rate from 4.60% to **4.85%** on 3 November, its fifth rise this year. Three of the nine Board members wanted to hold.
- Rate rises take about **12–18 months** to have their full effect on the economy.
- Irvine argues that budget deficits of about **1% of GDP** over the forward estimates are not a large stimulus, so they are not the main cause of inflation.
- CBA's Ashwin Clarke says this cycle is hitting households slightly less than past ones: housing debt is about **115%** of income, about 9 points lower than in 2022.
- RBA deputy governor Andrew Hauser said trust in the RBA's ability to bring inflation down soon has **"fallen materially"**.

4.85%
RBA cash rate, highest since 2008 (prev. 4.60%)

5
rate rises in 2026

12–18 mths
time for rate rises to have their full effect

Transmission mechanism: the channels through which cash rate changes affect spending and inflation

Time lag: the delay between a policy change and its full effect

FLOW CHART

The monetary policy transmission mechanism

RBA raises the cash rate → Mortgage and loan rates rise → Households and firms spend less → Aggregate demand slows → **Inflation eases toward 2–3%**

Each step takes time, and the effect depends on how indebted households are. Lower debt-to-income and borrowers who kept repayments high after the 2025 cuts mean **weaker transmission** this time.

COMPARE

The options Irvine considers

Rate hikes (current tool)
- Independent RBA can act quickly
- Crude: hits mortgage holders hardest
- Full effect takes 12–18 months

Temporary taxes
- Set by an independent body
- Would spread the burden more widely
- No country uses this today

Adjusting the super guarantee (12%)
- Would change how much of their pay workers can spend
- Irvine says it would need more investigation

Irvine's conclusion: rate hikes are crude, but they are the tool we have.

SYLLABUS LINK

Topic 4: monetary policy, including the transmission mechanism, time lags, limitations and the importance of credibility.

TRY THIS (6 MARKS)

Evaluate the effectiveness of monetary policy in reducing inflation that is partly caused by a global oil supply shock.

Read more: ABC News, Irvine, 9 Nov · ABC News, RBA decision, 3 Nov · ABC News, Hauser, 5 Nov · ABC markets blog, 9 Nov

Diagrams are illustrative, not to scale